Practice workbook · Fixed and variable costs

Costs that stay the same as output changes and costs that change with output, with examples.

11 question parts: 1 worked-example retry and 10 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

OLevels.com SCHOOL

Type ID: BUS-S3-15

1. Question 3 · part a · 1 mark

2023 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

3 (a) Define the term **variable costs**.

(1)

(b) Outline **one** way *Aude Rose* could extend the product life cycle of one of its products.

(2)

Figure 1 shows the retained profit for *Aude Rose*.

2021	€16 260
2022	€12 594

Figure 1

(c) Calculate, to two decimal places, the percentage decrease in retained profits from 2021 to 2022. You are advised to show your working.

(2)

..... %

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

1. Question 3 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Lavender*, a Malaysian business, started with bakery, patisserie and takeaway shops. It has now developed into several other businesses. *L.café* is a self-serve café selling a variety of cakes and drinks. *L.bistro* is a casual dining place with a selection of Asian foods. *L.table* is a formal restaurant that uses high quality and organic ingredients.

(Source adapted from: https://www.lavender.com.my/about-us-c1kfx)

(a) (i) Which **one** of the following would be a source of finance that could be used for a cash flow problem?

(1)

Select **one** answer.

- ☒ **A** Venture capital
- ☒ **B** Overdraft
- ☒ **C** Debenture
- ☒ **D** Leasing

(ii) Which **one** of the following is a phase of the product life cycle?

(1)

Select **one** answer.

- ☒ **A** Star
- ☒ **B** Place
- ☒ **C** Maturity
- ☒ **D** Branding

(iii) Which **one** of the following is an example of a fixed cost for *Lavender*?

(1)

Select **one** answer.

- ☒ **A** Flour used in the cakes
- ☒ **B** Packaging used for *Lavender*'s cakes
- ☒ **C** Sugar used in production
- ☒ **D** Rent for *Lavender*'s businesses

OLevels.com SCHOOL

P 5 9 9 2 9 A 0 3 1 6

2. Question 1 · part a.iii · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

(iv) When a business employs a new member of staff, part of their induction training would include:

(1)

Select **one** answer.

- ☒ **A** Health and safety
- ☒ **B** Total Quality Management
- ☒ **C** Off-the-job training
- ☒ **D** Government schemes

Lavender buys 150 kilograms (kgs) of yeast from Germany at a cost of €2 250.

The exchange rate is €1 = 5 Malaysian Ringgits (MYR).

(v) How much does *Lavender* pay in MYR for the yeast?

(1)

Select **one** answer.

- ☒ **A** 750
- ☒ **B** 2 250
- ☒ **C** 11 250
- ☒ **D** 337 500

Lavender calculates the cost of the cakes it makes. The weekly fixed cost is 759 MYR. The variable cost per cake is 4.70 MYR.

(vi) Calculate the total cost of selling 1,650 cakes in a week.

(1)

Select **one** answer.

- ☒ **A** 2 413.70
- ☒ **B** 3 567.30
- ☒ **C** 7 755.00
- ☒ **D** 8 514.00

(b) Define the term **short-term finance**.

(1)

.....

.....

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

2. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part a.ii · 1 mark

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part a.ii only.

1 (a) (i) Which sector does a clothing retailer operate in?

(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Quaternary

(ii) Which **one** of the following is an example of a fixed cost?

(1)

- ☒ **A** Rent
- ☒ **B** Overdraft charges
- ☒ **C** Raw materials
- ☒ **D** Commission

Yellow's store in Dubai ordered 2,000 T-shirts at a cost of 6 000 Rupees each. Currently the exchange rate is 1 Rupee = 0.032 Dirham (AED).

(iii) What would the *Yellow* store in Dubai pay in Dirhams for the 2,000 T-shirts?

(1)

- ☒ **A** 62 500
- ☒ **B** 187 500
- ☒ **C** 375 000
- ☒ **D** 12 000 000

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

Olevels.com SCHOOL

P 5 9 9 3 2 A 0 3 1 6

3

Turn over ▶

3. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

4. Question 1 · part a.ii · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.ii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

OLevels.com SCHOOL

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

4. Question 1 · part a.ii · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a.ii only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

OLevels.COM SCHOOL

TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA
DO NOT WRITE IN THIS AREA

4. Question 1 · part a.ii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

5. Question 1 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *The Alternative Drum School (TADS)* was set up in the wealthy area of Cricklade, England in 2008 by Ollie Tanner who had a passion for and enjoyed drumming. Ollie invested all of his savings into the drumming school. He saw the potential of being located away from other drumming schools.

Ollie promotes his business by writing columns in local papers, performing at local music festivals and by word of mouth recommendations. He has invested heavily in computer technology to allow students to produce the music they enjoy playing.

Ollie finds it difficult to maintain a good work-life balance. Ollie currently works 60 hours a week in a business that does not have reliable profits.

(a) (i) Which **one** of the following could a sole trader pay on its profits?

(1)

Select **one** answer.

- ☒ **A** Sales tax
- ☒ **B** Income tax
- ☒ **C** Corporation tax
- ☒ **D** Indirect tax

(ii) Which **one** of the following is a variable cost?

(1)

Select **one** answer.

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Packaging

OLevels.com SCHOOL

5. Question 1 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

(iii) Which **one** of the following is a method of primary market research?

(1)

Select **one** answer.

- ☒ **A** Newspaper articles
- ☒ **B** Government statistics
- ☒ **C** Focus groups
- ☒ **D** Internet research

(iv) Which **one** of the following is used to calculate net cash flow?

(1)

Select **one** answer.

- ☒ **A** Total cash inflow – total cash outflow
- ☒ **B** Total cash inflow + total cash outflow
- ☒ **C** Opening balance – closing balance
- ☒ **D** Opening balance + closing balance

OLevels.COM SCHOOL

TADS has developed contracts with drumming schools in other countries to teach online music lessons.

An Italian drumming school has agreed that *TADS* can teach five lessons per week. Each lesson costs £15 for half an hour. The exchange rate in January 2019 was £1 = €1.15.

(v) What will the Italian drumming school pay in euros (€) for these five lessons?

(1)

Select **one** answer.

- ☒ **A** €5.75
- ☒ **B** €15.00
- ☒ **C** €75.00
- ☒ **D** €86.25

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

5. Question 1 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

In May 2019 the exchange rate was £1 = €1.05. *TADS* continued to provide the Italian drumming school with five lessons a week.

(vi) What effect would this change in the exchange rate have on the Italian drumming school?

(1)

Select **one** answer.

- ☒ **A** A decrease in cash outflows
- ☒ **B** An increase in import costs
- ☒ **C** A decrease in revenue
- ☒ **D** An increase in the internet costs

(b) Define the term **fixed costs**.

(1)

OLevels.COM SCHOOL

(c) Define the term **stakeholder**.

(1)

(d) State **one** benefit to *TADS* of investing in computer technology.

(1)

5. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part a.iii · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1 *Can Culleretes* is a restaurant based in the Spanish city of Barcelona. Opening in 1786 it is the second oldest restaurant in Spain. It has been run by the Agut-Manubens family since 1958 and serves a variety of Mediterranean food. Sisters Montserrat and Alicia are co-owners of the restaurant with six members of the family working for them. The restaurant is near to popular tourist attractions and close to many other restaurants. It opens for lunch and dinner only.

(a) (i) Which **one** of the following could immediately improve cash flow?

Select **one** answer.

(1)

- ☒ **A** Allow customers to pay later
- ☒ **B** Launch an advertising campaign
- ☒ **C** Increase inventory of raw materials
- ☒ **D** Pay suppliers later

(ii) Which **one** of the following is an example of primary market research?

Select **one** answer.

(1)

- ☒ **A** Internet
- ☒ **B** Postal survey
- ☒ **C** Newspaper
- ☒ **D** Government report

(iii) Which **one** of the following is a fixed cost?

Select **one** answer.

(1)

- ☒ **A** Rent
- ☒ **B** Packaging
- ☒ **C** Weekly wages
- ☒ **D** Raw materials

OLevels.com SCHOOL

6. Question 1 · part a.iii · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a.iii only.

(iv) Which **one** of the following is used to calculate the break-even point?

Select **one** answer.

(1)

- ☒ **A** Fixed costs × (selling price + variable costs)
- ☒ **B** Fixed costs × (selling price – variable costs)
- ☒ **C** Fixed costs ÷ (selling price + variable costs)
- ☒ **D** Fixed costs ÷ (selling price – variable costs)

For its Winter menu *Can Culleretes* buys 10 kilograms (kg) of salmon from Scotland every week at a cost of £19.17 per kilogram.

In November 2021 the exchange rate was £1 = €1.17

(v) Which **one** of the following is the total cost in euros of buying a two week supply of salmon?

Select **one** answer.

(1)

- ☒ **A** €191.70
- ☒ **B** €224.29
- ☒ **C** €383.40
- ☒ **D** €448.58

Can Culleretes buys its prawns from a local fishmonger at a cost of €11.50 a kilogram. It is then sold to customers for €13.70 a kilogram.

(vi) What is the markup on a kilogram of prawns?

Select **one** answer.

(1)

- ☒ **A** 11.5%
- ☒ **B** 13.7%
- ☒ **C** 19.1%
- ☒ **D** 23.0%

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

P 7 0 7 3 6 A 0 4 2 0

6. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

7. Question 1 · part a.iii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a.iii only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1 *The Better Toy Store (TBTS)* is a children's toy shop. *TBTS* has three shops in Singapore. Two of the shops are located in busy shopping malls and the third is located at the Jewel Changi Airport. *TBTS* has a website for customers looking to buy toys online.

TBTS selects toys to sell that are excellent for play, value, design and quality. All *TBTS* toys are environmentally friendly.

(a) (i) Which **one** of the following is a form of promotion that targets a specialised segment of the market?

Select **one** answer.

(1)

- ☒ **A** Mass marketing
- ☒ **B** Niche marketing
- ☒ **C** Market share
- ☒ **D** Market analysis

(ii) Which **one** of the following is a financial aim for a business?

Select **one** answer.

(1)

- ☒ **A** Survival
- ☒ **B** Challenge
- ☒ **C** Social objectives
- ☒ **D** Personal satisfaction

(iii) Which **one** of the following is a variable cost?

Select **one** answer.

(1)

- ☒ **A** Rent paid
- ☒ **B** Management salaries
- ☒ **C** Insurance agreed
- ☒ **D** Raw materials

OLevels.COM — SCHOOL —

7. Question 1 · part a.iii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part a.iii only.

(iv) Which **one** of the following is a role of the production function?

Select **one** answer.

(1)

- ☒ **A** Workforce planning
- ☒ **B** Quality control
- ☒ **C** Customer service
- ☒ **D** Staff welfare

TBTS buys its balloon packs from a local supplier for 7.20 Singapore Dollars (SGD) a pack. It sells them to customers for 16.90 SGD.

(v) Which **one** of the following is the markup on a pack of balloons?

Select **one** answer.

(1)

- ☒ **A** 7.20 %
- ☒ **B** 9.70 %
- ☒ **C** 69.84 %
- ☒ **D** 134.72 %

TBTS sells balloons in packs of four at a price of 67.60 SGD.
The exchange rate is 1 SGD = 3.05 Malaysian Ringgit (MYR).

(vi) Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?

Select **one** answer.

(1)

- ☒ **A** 16.90 MYR
- ☒ **B** 22.16 MYR
- ☒ **C** 67.60 MYR
- ☒ **D** 206.18 MYR

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

P 7 0 7 3 5 A 0 4 2 0

7. Question 1 · part a.iii · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

8. Question 1 · part d · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part d only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *As We Grow* (*AWG*) is a clothing business in Iceland. The social objective of the business is to use natural materials, such as wool, and produce environmentally friendly products. It aims to design clothes that will last a long time, to encourage families to buy fewer clothes and reduce waste in society.

AWG's increasing product range now includes jumpers, dresses, shirts and baby clothes. These are produced in small workshops that employ family and friends. Waste is kept to a minimum and any leftover material is used to make scarves and hats. The business has one store in Iceland. It uses its website to advertise and sell its clothing online to customers in other countries. The business has received the Icelandic Design Award for its contribution to the environment.

(a) (i) Which **one** of the following is shown on the statement of financial position?

Select **one** answer.

(1)

- ☒ **A** Sales
- ☒ **B** Cost of sales
- ☒ **C** Current assets
- ☒ **D** Gross profit

(ii) Which **one** of the following is an element of the marketing mix?

Select **one** answer.

(1)

- ☒ **A** Price
- ☒ **B** Partnership
- ☒ **C** Production
- ☒ **D** Profit

OLevels.COM SCHOOL

8. Question 1 · part d · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part d only.

A business has fixed costs of £6 000 a month. Variable costs are £5 per unit and 8,000 units are made each month.

(iii) Which **one** of the following is the total monthly cost?

Select **one** answer.

(1)

- ☒ **A** £ 6 005
- ☒ **B** £14 000
- ☒ **C** £30 000
- ☒ **D** £46 000

(iv) Which **one** of the following job roles is most likely to be associated with capital-intensive production?

Select **one** answer.

(1)

- ☒ **A** Hairdresser
- ☒ **B** Car assembly worker
- ☒ **C** Soft fruit picker
- ☒ **D** Chef

(v) Which **one** of the following is an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Venture capital
- ☒ **C** Retained profit
- ☒ **D** Crowdfunding

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

8. Question 1 · part d · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part d only.

The currency of Iceland is the krona (ISK).

AWG's weekly fixed costs are 440 000 ISK and the variable cost per jumper is 2 500 ISK. Each jumper is sold for 8 000 ISK.

(vi) Which **one** of the following is the weekly break-even point?

Select **one** answer.

(1)

- ☒ **A** 8
- ☒ **B** 55
- ☒ **C** 80
- ☒ **D** 176

(b) Define the term **profit**.

(1)

(c) Define the term **span of control**.

(1)

(d) State **one** likely variable cost for *AWG*.

(1)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8. Question 1 · part d · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part d only.

AWG sells a woman's jumper on its international website for $329. *AWG* had a promotional sale and offered a discount of 25% on the price of jumpers.

(e) Calculate, to two decimal places, the new price of the jumper in the promotional sale. You are advised to show your working.

(2)

$.....

(f) Explain **one** benefit to a business that operates as a sole trader.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

6

P 7 4 6 3 3 A 0 6 2 0

8. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

9. Question 1 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

1 *Café Pinch* is a small café based in Berlin, the capital city of Germany. It serves a range of hot and cold meals. The owner, Kumaran, trained in good Berlin restaurants and cafés before starting his own café business. It opened in December 2018. It has 10 seats in front of the café and 10 inside. It is located close to an underground station. Despite being surrounded by many other cafés, *Café Pinch* received 5 out of 5 in online reviews. The reviewers commented on the high-quality cooked food, filled Ciabattas, range of drinks and excellent customer service. The café is open 8am–5pm every day. It has a website which is used for information purposes only.

(a) (i) Which **one** of the following is an example of an internal source of finance?

Select **one** answer.

(1)

- ☒ **A** Overdraft
- ☒ **B** Crowdfunding
- ☒ **C** Retained profit
- ☒ **D** Share capital

(ii) Which **one** of the following is a result of average costs rising in a growing large business?

Select **one** answer.

(1)

- ☒ **A** Economies of scale
- ☒ **B** Diseconomies of scale
- ☒ **C** Purchasing economies
- ☒ **D** Financial economies

(iii) Which **one** of the following is the money left after all costs have been subtracted from revenue?

Select **one** answer.

(1)

- ☒ **A** Gross profit
- ☒ **B** Inflows
- ☒ **C** Loss
- ☒ **D** Profit

OLevels.com SCHOOL

9. Question 1 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(iv) Which **one** of the following is a debt payable after 12 months?

Select **one** answer.

(1)

- ☒ **A** Non-current liability
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Current asset

Café Pinch sells many filled Ciabattas. The most popular is mozzarella cheese and avocado, selling for €5.30. The cost of making this Ciabatta is €2.56.

(v) Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta?

Select **one** answer.

(1)

- ☒ **A** 48%
- ☒ **B** 93%
- ☒ **C** 107%
- ☒ **D** 207%

Café Pinch wants to add French Fries to its menu. It will use British potatoes costing £0.82 per kilo.

The exchange rate is €1 (euro) = £0.84.

(vi) Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes?

Select **one** answer.

(1)

- ☒ **A** €59.52
- ☒ **B** €48.81
- ☒ **C** €42.00
- ☒ **D** €41.00

DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA DO NOT WRITE IN THIS AREA

OLevels.COM SCHOOL

P 7 5 8 4 2 A 0 4 2 0

9. Question 1 · part b · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

(b) Define the term **variable cost**.

(1)

(c) Define the term **niche marketing**.

(1)

(d) State **one** way *Café Pinch* can react to external social factors affecting its business.

(1)

OLevels.com SCHOOL

9. Question 1 · part b · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

10. Question 1 · part a.i · 1 mark

2025 JUN · Paper 02 (regional R)

Further practice · Attempt part a.i only.

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

1 *Paco Rabanne* began trading in the 1960's. It changed from *Paco Rabanne* to *Rabanne*. The business was started by Francisco Cuervo. At first it designed and made costumes using plastic and metal for the film industry. Cuervo designed costumes for many film stars including Jane Fonda in Barbarella.

Later Francisco Cuervo developed a range of products for men, such as the aftershaves Paco Rabanne Pour Homme and Invictus, and for women, the perfumes 1 Million and Lady Million.

Rabanne is still one of the leading manufacturers of a range of products including fashionable clothes, handbags and jewellery. It has many employees across the world.

(a) (i) Which **one** of the following is a variable cost?

Select one answer.

(1)

- ☒ **A** Insurance
- ☒ **B** Rent
- ☒ **C** Salaries
- ☒ **D** Raw materials

(ii) Which **one** of the following is a type of discrimination protected by employee legislation?

Select **one** answer.

(1)

- ☒ **A** Political
- ☒ **B** Ethical
- ☒ **C** Age
- ☒ **D** Promotion

OLevels.com SCHOOL

P 7 8 7 9 7 A 0 3 2 0

10. Question 1 · part a.i · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

11. Question 2 · part a · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part a only.

2 (a) State **one** fixed cost *Ocean Vibes* is likely to pay.

(1)

(b) State **one** method of primary research *Ocean Vibes* may use.

(1)

(c) Explain **one** advantage to a business of having high market share.

(3)

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

OLevels.com SCHOOL

8

P 7 8 9 6 9 A 0 8 2 0

11. Question 2 · part a · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL